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Non-Sufficient Funds

The Division may cancel a license (CDL, DL, IP), suspend a vehicle registration, and/or stop a registration credit disbursement for nonpayment of money due. An NSF will add a stop on the customer's record and prevent all services (with the exception of an ID card) until full payment is made to resolve the returned payment.

There are four withdrawals related to return payments that will add a stop to a customer record, these are:

- NSF Penalty Due
- Online payment Return
- Chargeback JUD
- Port of Entry Return Payment



MAX will allow for the issuance of an ID when there is a stop on the record due to a NSF, Online Payment Returned, or Chargeback (JUD).

- If the NSF is for an ID card transaction, you may still issue a new ID card without collecting the NSF fee first
- If the NSF transaction was not for a driver license transaction (e.g., registration renewal) and their driver license is active, the customer **MUST** complete a [Driver License/ID Cancellation Request, form # 96-0384](#) before an ID card can be issued (MAX will provide an alert that the current credential will be canceled prior to issuance)

An attempt will be made to collect all funds due and a fee for the check or electronic payment returned for nonpayment due to insufficient funds, payments stopped, or closed accounts.

Full payment is required within 45 days. When the returned payment is not paid within that time-frame, MAX will create an incident/ withdrawal action. If the NSF was for:

- A credential, the credential will be canceled, MAX will stop services
- A T&R or registration, the registration will be suspended, MAX will stop services
- If the incident/ withdrawal is for some other type of service (e.g., MVR, Aircraft Returned Payment or Port of Entry Returned Payment), MAX will stop services until satisfied

► Example of T and R Suspension

▶ Example of DL Cancellation

Before a person can become eligible for any other products or licensing services offered by the Division, all returned payment and all associated fees must be paid in full. Ineligible Services include:

- Credential Issuance
- Credential Renewal
- Credential Duplicate
- Print Title
- Title Only
- Registration Only
- Duplicate Registration
- Update Registration
- Renew Registration
- Reinstate Registration
- Title and Registration
- Issue Permit
- Reprint Permit
- Tab Replacement
- Temporary Registration Plate



The CSR must always resolve the outstanding returned payment amount on the Customer Record before completing any title and/or registration services, view [Reinstatement Scenarios > Reinstating a Vehicle Registration with a NSF/Chargeback Withdrawal](#) section for instructions on how to collect and reinstate a vehicle record.

- ▶ **Example of Returned Payment Notice (NSF Letter)**
- ▶ **Finding the Incident or Withdrawals Associated with the NSF**
- ▶ **Finding the Receipt Number Without the NSF Letter**
- ▶ **Checks or Electronic Payments**
- ▶ **Fees Associated with NSF**
- ▶ **Payments for NSF**
- ▶ **Disputing NSF**

Policies

5.4.1 NSF Collections Cancellations Return Payment Fees

HELPFUL LINKS

» [MVD / DMV Public Website](#)

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